



IFRS 9 ECL Guide for Insurance Companies

*Practical Implementation Guide, Industry
Best Practices, and Regulatory
Expectations*

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Disclaimer

This guide has been prepared to assist insurance companies in understanding and implementing the impairment requirements of IFRS 9 Financial Instruments. The guide is intended for educational and implementation support purposes and should not replace professional judgment, accounting standards, regulatory requirements, or external audit guidance.

Executive Summary

The introduction of IFRS 9 fundamentally changed the way entities recognize impairment losses on financial assets. Unlike the incurred loss model under IAS 39, IFRS 9 requires entities to recognize Expected Credit Losses using forward-looking information.

For insurance companies, the implementation of IFRS 9 presents unique challenges due to the nature of financial assets typically held, including:

- Premium receivables
- Fixed income investments
- Government securities
- Corporate bonds
- Term deposits
- Intercompany balances

- Other financial assets

This guide provides practical methodologies, data requirements, governance expectations, and implementation approaches tailored specifically for insurance companies.

1.Understanding IFRS 9 Impairment Requirements

Objective

The objective of IFRS 9 impairment requirements is to ensure timely recognition of credit losses by incorporating:

- Historical information
- Current conditions
- Forward-looking information

Insurance companies are required to estimate credit losses before actual defaults occur.

Core Principle

Entities shall recognize Expected Credit Losses on financial assets measured at:

- Amortized Cost
- Fair Value Through Other Comprehensive Income (FVOCI)
- Loan Commitments
- Financial Guarantee Contracts

2. Financial Assets Commonly Held by Insurance Companies

Assets Typically Subject to IFRS 9

Asset Type	IFRS 9 Impairment Applicable
Premium Receivables	Yes
Corporate Bonds	Yes
Sukuk Investments	Yes
Bank Deposits	Yes
Intercompany Loans	Yes
Employee Loans	Yes

Assets Typically Outside Scope

Asset Type	IFRS 9 Impairment Applicable
Equity Investments at FVPL	No
Property and Equipment	No
Deferred Tax Assets	No
Insurance Contract Assets	IFRS 17
Reinsurance Contract Assets	IFRS 17

3. Selection of ECL Approach

Under IFRS 9, there are two approaches for impairment assessment:

- Simplified Approach
- General Approach

The key difference between the two approaches is the requirement to assess Significant Increase in Credit Risk (SICR) and apply staging.

Under the Simplified Approach, Lifetime Expected Credit Losses are recognized from initial recognition, and no staging assessment is required.

Under the General Approach, financial assets are classified into three stages:

- Stage 1 (Performing Assets): Recognition of 12-month ECL.
- Stage 2 (Assets with Significant Increase in Credit Risk): Recognition of Lifetime ECL.
- Stage 3 (Credit-Impaired Assets): Recognition of Lifetime ECL, with interest revenue generally calculated on the net carrying amount.

For insurance companies, the Simplified Approach is commonly applied to premium receivables because these balances are generally short-term in nature and do not contain a significant financing component. As a result, the difference between 12-month ECL and Lifetime ECL is often immaterial.

However, investment portfolios, debt securities, term deposits, and bank balances typically sometimes fall under the General Approach and are assessed using the three-stage impairment model.

4. Portfolio Segmentation

Premium Receivables

Potential segmentation:

- Individual Life Insurance
- Corporate Life Insurance
- Motor Insurance
- Health Insurance
- General Insurance

Investment Portfolios

Potential segmentation:

- Sovereign Exposures
- Financial Institutions
- Corporate Bonds
- Related Party Exposures

5. Default Definition

Insurance companies must establish a documented default definition. Common indicators include:

- 90 Days Past Due
- Bankruptcy
- Liquidation
- Restructuring due to financial distress
- Regulatory intervention

Recommended benchmark:

Default = 90 Days Past Due or objective evidence of impairment.

6. Expected Credit Loss Methodologies

Loss Rate Estimation for Premium Receivables

To estimate Loss rates, the preferred methodology is Roll Rate Analysis. Roll Rate Analysis is a transition-based credit risk technique used to assess the movement of customers across delinquency buckets over time. The methodology tracks how accounts migrate between defined credit states (e.g., Current → 30 DPD → 60 DPD → Default).

Following is the Illustration of how roll rate tracks migration of customers between the DPD buckets:

Buckets	T1	T2	T3		Tn
0	A_{i1j1}	A_{i1j2}	A_{i1j3}	A_{i1j4}	A_{i1j5}
1 to 30	A_{i2j1}	A_{i2j2}	A_{i2j3}	A_{i2j4}	A_{i2j5}
31 to 60	A_{i3j1}	A_{i3j2}	A_{i3j3}	A_{i3j4}	A_{i3j5}
61 to 90	A_{i4j1}	A_{i4j2}	A_{i4j3}	A_{i4j4}	A_{i4j5}
90+	A_{i5j1}	A_{i5j2}	A_{i5j3}	A_{i5j4}	A_{i5j5}

$$P_{i_nj_n} = \frac{A_{i_{n+1}j_{n+1}}}{A_{i_nj_n}}$$

Here,
P is probability of moving from one bucket to another.
i is Bucket
j is Time
A is customers/ outstanding amounts

PD X LGD Methodology for investment portfolios, debt securities, term deposits, and bank balances

For investment portfolios, debt securities, term deposits, and bank balances, ECL will be determined using the PD × LGD methodology in accordance with IFRS 9 requirements.

As entity-specific default and recovery data is typically not available for these portfolios, the assessment will utilize benchmark credit risk parameters derived from reputable external sources.

PD estimates will be based on external credit ratings assigned by recognized rating agencies such as S&P Global Ratings, Moody's, Fitch Ratings, or equivalent regulatory and market-based benchmarks. Where external ratings are unavailable, appropriate benchmark PDs will be applied based on the counterparty type, industry, and risk profile.

LGD will be determined using industry-standard benchmark assumptions, taking into consideration the nature of the instrument, recovery expectations, seniority of claims, and prevailing market practices.

Below is the Illustration of the Ratings and PDs:

External Rating	Illustrative PD
AAA	0.01%
AA	0.03%
A	0.05%
BBB	0.20%
BB	1.00%
B	5.00%
CCC and below	Higher risk category

“PDs are illustrative only. Actual PDs will be sourced from the latest available external rating agency or approved benchmark sources at the reporting date.”

Exposure at Default (EAD)

Exposure at Default represents the amount that the entity is expected to be exposed to at the time a counterparty defaults.

For investment portfolios, debt securities, term deposits, and bank balances, the exposure is generally straightforward and can be determined based on the outstanding carrying amount of the instrument at the reporting date. Accordingly, for most investment instruments, EAD is considered to be equal to the outstanding carrying value of the asset.

For term deposits and bank balances, EAD includes both the outstanding principal amount and any accrued profit or interest receivable up to the reporting date. This approach reflects the total contractual exposure that may be subject to credit loss in the event of default and is consistent with industry practice and IFRS 9 requirements.

For premium receivables, EAD is considered to be equal to the outstanding premium balance due from policyholders, agents, or brokers at the reporting date. As premium receivables are typically short-term in nature

and do not contain undrawn commitments, the gross carrying amount of the receivable is used as the exposure for ECL calculation purposes. This represents the maximum contractual amount exposed to credit risk in the event of counterparty default.

Forward Looking Information

a) Macroeconomic Model Framework

In accordance with IFRS 9, Expected Credit Losses must incorporate reasonable and supportable forward-looking information that reflects both current and anticipated future economic conditions.

Accordingly, relevant macroeconomic indicators such as GDP growth, inflation, unemployment rates, interest rates, and other economic factors can be considered when assessing the impact of economic changes on credit risk and expected losses.

Historical and forecast economic data obtained from reliable external sources may be used to quantify the relationship between macroeconomic conditions and credit losses. Multiple economic scenarios needs to be developed and probability-weighted to ensure that the resulting ECL estimates

reflect a range of possible future outcomes and remain consistent with the requirements of IFRS 9.

The Base scenario represents the most likely economic outlook, while the Upside and Downside scenarios reflect potential economic improvement and deterioration, respectively.

The following table illustrates the economic scenarios and their respective probability weightings:

Base	Upturn	Downturn
60%	20%	20%

b) Point In Time (PiT)

The impact of forward-looking macroeconomic information is incorporated into the PD estimates. This process converts long-term or TTC credit risk estimates into PiT PDs that reflect current and expected future economic conditions. As a result, the estimated likelihood of default is adjusted to capture the effects of changes in the economic environment.

Various statistical and econometric techniques can be used to establish the relationship between macroeconomic variables and credit risk. The selected methodology is then used to adjust the TTC PD estimates and derive forward-looking PDs for the relevant portfolios. These forward-looking PDs are subsequently used in the ECL calculation.

The following table provides an illustrative example of PiT PD estimates under each economic scenario.

Premium Receivables	TTC PD	BASE	BEST	WORST
Not Due	2.68%	3.39%	1.53%	6.78%
1-30 days	7.57%	9.07%	5.88%	13.38%
31-60 days	31.08%	34.81%	27.79%	42.39%
61-90 days	53.20%	54.78%	52.30%	56.58%

7. Management Overlay

Management overlays may be applied when:

- Emerging risks exist
- Historical data becomes less relevant
- Economic conditions change significantly

Overlays should be:

- Quantifiable
- Supported by evidence
- Approved by governance committees

8. Governance Framework

Recommended governance structure:



Key Responsibilities

Board of Directors – Provides overall oversight and approves IFRS 9 policies and governance framework.

Risk Committee – Reviews methodology, assumptions, model performance, and impairment results.

Finance Function – Responsible for financial reporting, disclosures, and ECL calculation.

Risk Function – Responsible for implementation, methodology updates, and governance activities.

Independent Validation Team – Performs independent review and validation of models, assumptions, methodologies, and outputs.

9. Model Validation

Independent validation should assess:

- Methodology appropriateness
- Data quality
- Assumptions
- Mathematical accuracy
- Scenario design

Validation should be performed at least annually.

10. Common Audit Findings

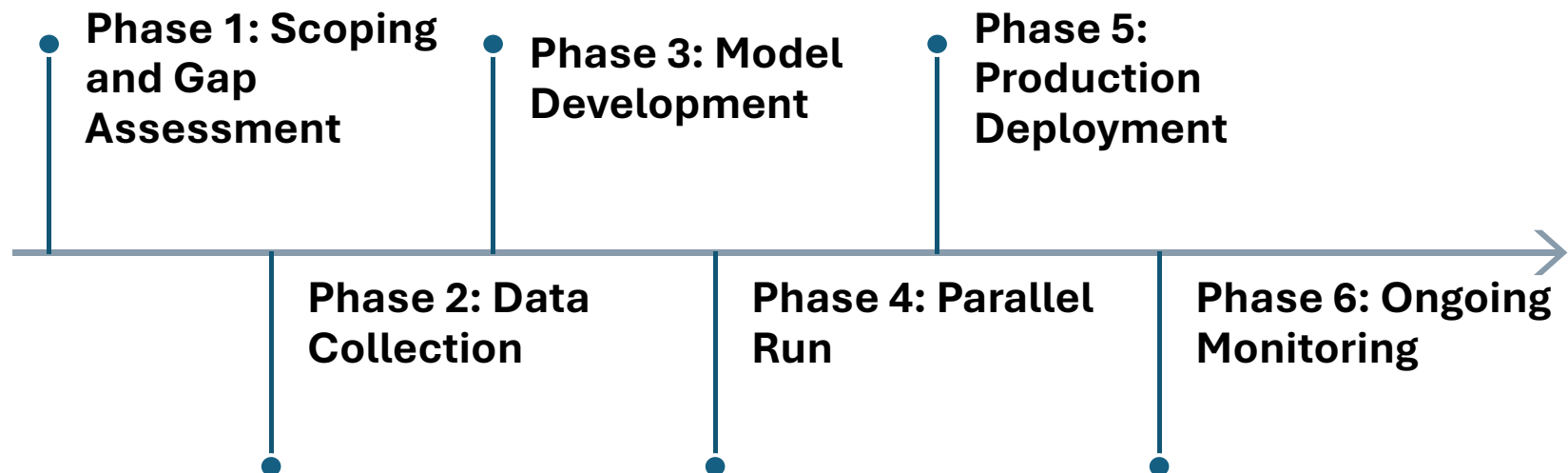
The most common findings include:

- Failure to use data covering a complete economic cycle.
- Forward-looking adjustments or management judgments that are not supported by quantitative analysis or

statistical evidence.

- Assignment of macroeconomic scenario weightings based solely on management judgment without appropriate analytical support.
- Unsupported or inadequately documented management overlays.
- Inappropriate reliance on or application of external credit ratings.
- Insufficient model validation and supporting evidence.
- Inadequate governance, controls, and documentation frameworks.
- Absence of a formal IFRS 9 methodology document outlining model design, key assumptions, methodologies, and implementation processes.

11. Implementation Roadmap



12. Conclusion

A successful IFRS 9 implementation for insurance companies requires a balance between technical compliance, operational practicality, and governance. The chosen methodologies should be proportionate to the nature, complexity, and materiality of exposures while ensuring consistency with IFRS 9 principles and industry best practices.



About Probmatrix

Probmatrix provides specialized IFRS 9 solutions and advisory services to financial institutions, insurance companies, leasing entities, NBFCs, MFIs, DFIs, and corporate organizations.

Our services include:

- IFRS 9 Model Development
- Model Validation
- ECL Calculation Frameworks
- Audit Support
- Regulatory Advisory
- IFRS 9 Excel Add-In

Complimentary IFRS 9 Readiness Assessment

Request a free IFRS 9 maturity assessment covering:

- ✓ Methodology Assessment
- ✓ Data Gap Analysis
- ✓ Forward-Looking Adjustment Assessment
- ✓ Validation Readiness Review

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